

Theorist subscribers will buy it. While I would just as soon that my assessment for the next decade be wrong for my family and friends' sake, the dearth of similar opinions among professionals, the public and the media suggests that it is not. Seventeen years later, except for some minor points, I would not change the forecasts in *Elliott Wave Principle*. Ten years from now, I expect to be content with the validity of the essential outlook presented in this book as well.

SOCIAL IMPLICATIONS

While the Wave Principle is the single best method for anticipating the behavior of markets, its value at times goes way beyond even that great benefit. As explained in Chapter 12, the effects that a change in market trend will have on society are not in evidence at the start of the trend. They become intensely manifest by the time of its termination. Is it too early to begin projecting events that will result from the approaching bear market in social mood? To be sure, this book contains dozens of very specific financial forecasts, which are at root social phenomena. Forecasting social events outside that realm, however, is an even more complex and less exact science. Nevertheless, a few observations appear suited to the limited scope of this book.

A long term trend toward a positive social mood always leads to times of peace and political cooperation, such as we enjoy today. An extreme trend change in social mood toward the negative always leads to calamities. The average level of conflict during the bear market will be far greater than it was during the bull market and will lead to periods of turmoil, not just in financial markets, but in society. Indeed, the trends now implied by long term market patterns have *always* produced dramatic social upheaval. The last time a bear market of the currently projected magnitude took place was 1720 to 1784, a period that began with a market crash, ended with the Revolutionary War, and led to a deep and global five-year depression.

The coming trend of negative social psychology will be characterized primarily by polarization between and among various perceived groups, whether political, ideological, religious, geographical, racial or economic. The result will be a net trend toward anger, fear, intolerance, disagreement and exclusion, as opposed to the bull market years, whose net trend has been toward benevolence, confidence, tolerance, agreement and inclusion. Such a sentiment change typically brings conflict in many forms, and evidence of it will be